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INDIAN EXPRESS UPSC IAS EDITION HD 26~07~2026

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# Rajnath: Great Nicobar project will safeguard Indo-Pacific interests

**Nikhil Ghanekar**  
*New Delhi, July 25*

DEFENCE MINISTER Rajnath Singh has said the Great Nicobar Island project is a strategic national initiative to safeguard India's maritime and commercial interests in the Indo-Pacific, marking his first response to concerns raised by Congress MP Jairam Ramesh on the mega project.

The Rs 81,000 crore project, Singh said on July 17, will enhance India's ability to sustain presence, move assets, and monitor critical sea lanes of communication. Singh was responding to a June 12 and May 16 correspondence by Ramesh, in which he had appealed to consider expanding existing defence assets on the Andaman and Nicobar Islands, such as INS Baaz at Campbell Bay, among others, and argued that the Great Nicobar Island project in its current form was a "recipe for ecological disaster".

The government has proposed an integrated township, a trans-shipment container port, a solar and gas-based power plant, and a greenfield military and civilian use airport as part of the project. Land has also been earmarked for defence purposes on the western flank of the trans-shipment port site.

Singh said Ramesh's suggestion that India's strategic requirements can adequately be addressed through expansion of existing defence facilities reflects an "incomplete appreciation" of the project and the nature of maritime security in the Indo-Pacific. "The repeated characterisation of the project as just a costly commercial venture over-

looks the strategic realities of the region,” Singh said. He said the projects at Great Nicobar Island are intended to further India’s “commercial resilience” and “bolster national security.” “The project—located in the proximity of vital SLOCs (Sea Lanes of Communication) enhances our maritime domain awareness and adds to our outreach — an advantage other military stations further away cannot provide.”

Singh also explained that the possibility of developing INS Baaz as a brownfield project was examined, but was not considered suitable as "it would have entailed substantial land reclamation and disturbance to the tribal population, flora and fauna". Therefore, he said, the decision to pursue a greenfield project at Galathea Bay was a considered decision based on strategic, operational, environmental, and social factors.

He sought to rebut Ramesh's charge that environmental and tribal concerns have been disregarded for the project, saying all "statutory approvals" have been granted following appraisal by expert bodies, with stringent safeguards and mitigation steps.

On Saturday, Ramesh stressed the project is “most fundamentally a commercial enterprise” for which strategic rationale is being invented and propagated to build a counter-narrative. This, he said, is being done as evidence that the project will destroy a unique ecosystem mounted. He also rebutted the claims of the greenfield airport at Galathea Bay entailing far lesser environmental, social and operational costs than expansion at INS Bazr, terming it “logically contradictory.”

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## 28 years on tentative list, Sarnath now a UNESCO World Heritage Site

**Bhupendra Pandey  
& Divya A**  
*Lucknow, New Delhi, July 25*

SARNATH, THE ancient site where Lord Buddha delivered his first sermon after attaining enlightenment, has been inscribed on UNESCO's World Heritage List, becoming India's 45th and Uttar Pradesh's fourth World Heritage Site.

The announcement came Saturday during the 48th session of the UNESCO World Heritage Committee held in Busan, South Korea.

Sarnath, one of the holiest sites of Buddhism, has recorded its significance on the global platform for heritage recognition. The state government

stated this would strengthen Uttar Pradesh's Buddhist Circuit on the international tourism and cultural heritage map.

According to the UP Tourism Department, Sarnath was included in UNESCO's tentative list on July 3, 1998. Twenty-eight years on, it has been officially designated a World Heritage Site. Until now, the state's three World Heritage Sites were the Taj Mahal, Agra Fort and Fatehpur Sikri — all in the Agra region.

Sarnath is the sacred land where Lord Buddha, after attaining enlightenment, delivered his first sermon to humanity and set in motion the 'Dharmachakra Pravartan'. Counted among the holy pilgrimage sites of Buddhism, Sarnath is described in



Sarnath has become India's 45th and Uttar Pradesh's fourth site to be added to the UNESCO World Heritage List. AP

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ancient Buddhist scriptures of India (ASI) had repl

such as Rishipattan.

Months ahead of its nomination, the Archaeological Survey

of India (ASI) had replaced the existing plaque at the site — to “correct” its recorded history — replacing the names of colonial

rulers to credit the local royal family with discovering the site.

*The Indian Express* had reported in September 2023 about a proposal to change the perception that credited British archaeologists and officers for preserving the site.

"After an extensive study of authentic documents and primary historical evidence, the Archaeological Survey of India (ASI), New Delhi, has acknowledged that the site of Sarnath in Varanasi first came to light during the digging carried out on the orders of Babu Jagat Singh," said Pradeep Narayan Singh, a descendant of Jagat Singh, in a statement released in March.

“Sarnath has a close association with Lord Buddha, whose

timeless message of wisdom, compassion and harmony inspires the world,” said Prime Minister Narendra Modi in a post on X, and “This recognition celebrates India’s profound civilisational and spiritual heritage.”

Conservation architect Abha Narain Lambah, who played a key role in preparing Sarnath's UNESCO nomination, said, "Sarnath's identity is not limited only to its monuments." According to her, "For nearly 2,500 years, the Buddhist pilgrimage tradition has remained alive here, and it is this integrated cultural and spiritual heritage that makes Sarnath uniquely deserving of the World Heritage status."



# 'Force gradient' adopted for crowd control not as per standards, training, says RAF

When asked, DG (CRPF) General Gyanendra Pratap Singh said, "Now, since protest has been called off, and once assembled people disperse, we would make a professional post event assessment, like we do after every major assignment."



**Tanusree Bose**  
*Kolkata, July 25*

Making a statement in the Assembly on Saturday, Adhikari said around 70 people identified from the Dharmatala rally were “not students” and had no connection with the agitation over the alleged NEET paper leak.

Condemning the attacks on journalists during the protest, he said the West Bengal Public Safety and Control of Anti-social Activities Act, 2026, - popularly known as the Goonda Act, had been invoked to ensure exemplary punishment for those responsible.

the entire House. An attack on journalists is unacceptable. We will take such action under the Goonda Act that these goons and even their next three generations will remember it. This is precisely why this law was enacted," the chief minister said.

Adhikari alleged that as the procession reached Esplanade, shoes and water bottles were hurled first at policemen and then at journalists covering the demonstration.

“They wanted the police to resort to lathicharge and tear gas. They wanted a spectacle. But Kolkata Police did not provide them that opportunity. The restraint shown by the force deserves appreciation,” he said.

"They have nothing to do with the student movement. They are not students, nor are they members of the organisation that called the programme. They came only to create disorder," he alleged.

The CM, who visited injured journalists at SSKM Hospital on Friday, said the attack on the media was an issue that “had to be placed before the House”.

Seven complaints have been registered in connection with the violence.



## 5-10 yrs in jail, Rs 50L-10 cr fine: Anti-paper leak Bill set to be introduced in House next week

**Damini Nath**

*New Delhi, July 25*

THE UNION government is set to bring an amendment Bill in Parliament next week to increase the punishment for individuals involved in unfair means, including leaks of question papers of public exams, from imprisonment of three to five years to five to 10 years, while also increasing the fine from Rs 10 lakh to Rs 50 lakh, *The Indian Express* has learnt.

The introduction of the Public Examinations (Prevention of Unfair Means) Amendment Act, 2026 by Minister of State for Personnel, Public Grievances and Pensions Jitendra Singh was on Saturday included in the list of business of the Lok Sabha on July 27 (Monday), a day after the Union Cabinet approved it.

The Bill seeks to increase the punishment for organised crime of unfair means in public examinations from imprisonment of at least five years to at least seven years and the fine from at least Rs 1 crore to at least Rs 10 crore. The draft amendment Bill also provides for a "Special Task Force" to be set up to investigate the cases of unfair means under the Act, with a timeline of two months for the investigation. For

***For trial of cases, the Bill provides for setting up of special fast-track courts***

the trial of the cases, the Bill provides for the setting up of special fast-track courts.

“For the purposes of providing a speedy trial on a day-to-day basis, every state government and Union Territory administration shall, in consultation with the Chief Justice of the concerned High Court, by notification, designate a Court of Session to be a Special Fast Track Court to try offences under this Act,” the Bill says.

It adds that the trial should be completed within three months of filing the charge-sheet. Cases pending in courts would be transferred to the fast-track courts upon commencement of the Act, it says.

The Bill was approved by the Cabinet hours after Prime Minister Narendra Modi made an announcement to the effect in response to the students' protest against the leak of the NEET-UG question paper in May.

In the statement of objects and reasons, Jitendra Singh wrote that the Public Examin-

ations (Prevention of Unfair Means) Act, 2024 was enacted to prevent people from resorting to unfair means in public exams.

“The said Act, being a pan-Indian legislation, aims at effectively deterring persons, organised groups and institutions from indulging in unfair means thereby committing offences, adversely impacting the sanctity of public examinations...”

"In recent years, there have been some incidents of question paper leakages and malpractices in examinations conducted by public examination authorities, which tend to affect the transparency and fairness of the public examinations system. Hence, in order to further strengthen the fairness, to enhance the credibility of the public examinations system and to facilitate speedy trial and ensure time-bound investigations of offences under the said Act, it is necessary to make amendments in the said Act," he wrote.



**Arun Janardhanan**  
*Chennai, July 25*



The 2012 Dharmapuri riots after an inter-caste marriage remain among TN's darkest caste conflicts. Critics long accused PMK of encouraging caste mobilisation under the language of community rights. His supporters remember the architect of reservation. His critics remember politics of exclusion.



# ‘Safeguard essential’: Top court on withholding children’s Aadhaar details under APAAR scheme

Express News Service  
New Delhi, July 25

THE SUPREME Court has asked the Central Board of Secondary Education (CBSE) to implement on a pan-India basis the Orissa High Court's direction that parents be provided with the option to refuse consent to sharing Aadhaar details of their children for creation of Automated Permanent Academic Account Registry (APAAR) ID or to opt out of the scheme.

A bench of Chief Justice of India Surya Kant and Justices Joymalya Bagchi and V Mohana also directed that any personal information collected pursuant to the APAAR Scheme should not be disclosed or shared with any private entity or third party except in accordance with law.

The July 20 order which was made available on Saturday said, "Having considered the attending circumstances and the submissions advanced on behalf of the petitioners, we are inclined to adopt the approach taken by the High Court of Orissa at Cuttack in Rohit Anand Das vs State of Odisha...wherein the state auth-

orities were directed to consider suitably amending the model consent form prescribed under the APAAR Scheme so as to expressly provide an option enabling parents or guardians to withhold or refuse consent."

The bench said it is "of the considered view that such a safeguard is essential to ensure that the requirement of consent is meaningful and informed. Accordingly, we direct that the directions contained in paragraph 19 of the aforesaid judgment shall be given effect to on a pan-India basis by the concerned authorities implementing the APAAR Scheme".

Paragraph 19 of the December 12, 2025 judgment of the Orissa HC asked authorities "to consider amendment of the model consent form to include an opt out/refusal of consent option therein".

The SC order came on petitions by some parents challenging the constitutional validity of the scheme.

The petitioners contended that the scheme "effectively operates as a State-run surveillance mechanism within the education sector by enabling the long-term tracking, profiling and monitoring of

children's educational trajectories". They said that "the extensive collection and retention of such data creates the potential for its use beyond the educational sphere, thereby raising serious concerns relating to informational privacy and data protection".

The court also termed "misconceived" the concerns regarding the possible misuse of the personal information of those who voluntarily opted to enroll under the APAAR Scheme. "Merely because the collection of such information is undertaken pursuant to an administrative scheme and not under a statutory mandate does not absolve the authorities of their obligations in relation to the protection of personal data," it said.

The SC said "any collection, processing, storage, retention, sharing or use of personal information under the APAAR Scheme shall, therefore, be strictly governed by the provisions of the Digital Personal Data Protection Act, 2023, and the obligations cast thereunder upon data fiduciaries to ensure the lawful, secure and purpose-limited processing of personal data."



# 134 roads in Himachal shut due to landslides, flash floods; 15 dead

**Press Trust of India**  
*Shimla, July 25*

AS MANY AS 134 roads remained closed in Himachal Pradesh on Saturday due to landslides and flash floods triggered by torrential rains. The Indian Meteorological Department (IMD) has issued an orange alert for heavy to very heavy rainfall in four districts between July 28 and 30.

The Shimla Meteorological Centre also warned of low to moderate flash flood risk in parts of Chamba, Kangra, Kinnaur, Kullu, Mandi, Shimla and Sirmaur districts till Sunday morning. So far, landslides and flash floods have claimed 15 lives in Himachal.

As many as 14 have died in landslides — 13 people died in Lahaul and Spiti after a rock fell

on a moving taxi on Friday. One death was reported in Chamba district due to a landslide. One person died in flash floods in Kangra district, officials said on Saturday. A total of 134 roads, including 58 in Mandi, 33 in Kullu, 14 in Chamba, 12 in Sirmaur, seven in Shimla, five in Kangra, four in Lahaul and Spiti, and one in Una district, were closed due to vehicular traffic on Saturday evening.

As many as 35 water supply schemes and 78 transformers have also been affected in the state, according to the State Emergency Operation Centre (SEOC). Light to moderate rains continued in the state since Friday evening, with Dharamshala recording the highest rainfall at 80.5 mm.

The Met has predicted a wet spell in the state till July 31.

# Assam floods: 61 dead, over 7.05 lakh affected

**Press Trust of India**  
*Guwahati, July 25*

THE FLOOD situation in Assam remained grim on Saturday even as the water level has started to recede in some parts. As many as 61 people have died and over 7.05 lakh people affected in nine districts, officials said.

According to the Assam State Disaster Management Authority (ASDMA) bulletin on Friday night, 14 more people lost their lives in the deluge in the last 24 hours, taking the toll to 61 this year.

According to the authority's

daily flood report, more than 7,05,100 people have been affected in Charaideo, Dhemaji, Dibrugarh, Golaghat, Hojai, Jorhat, Karbi Anglong, Nagaon and Sivasagar districts.

The flood situation has improved marginally since Thursday, when over 7.21 lakh people were affected across 11 districts.

Assam Chief Minister Himanta Biswa Sarma said his government is yet to deliver relief materials to at least 80,000 flood-affected people even as the situation remained critical with many rivers continuing to rise following incessant rains.

# Rain fury claims 40 lives in Gujarat; several rescued

**Kamal Saiyed**  
*Surat, July 25*

NEARLY 40 persons died in rain-related incidents across Gujarat, the highest being in Valsad and Navsari which together reported 33 deaths till Saturday, largely caused by electrocution or drowning. One death each was reported from Tapi and Surat districts in South Gujarat till Saturday, according to sources in the State Revenue Department.

In Ahmedabad district, the Army and Gujarat Police personnel rescued several persons from industrial units and warehouses even as the 60-km NH 47 connecting Ahmedabad to Rajkot, remained closed to traffic till Bagodra for the second consecutive day because of flood related damage. The state highway connecting the city to Viramgam through the auto hubs of Sanand and Mandal which was closed on Friday, opened late Saturday for heavy vehicles. This stretch sees the busiest commercial traffic and has developed as an industrial and logistics zone.

The district police rescued 900 workers from the Gallops Industrial Park in Bavla, close to Sanand while more than 80 workers were rescued from an Amazon warehouse in a village in Bavla taluka by the Army.

The flooding in the district is being attributed to excessive rainfall and water released from the Sabarmati River through the Vasna barrage in Ahmedabad.

Although rainfall eased in Ahmedabad city, South Western suburbs like Bopal, Ghuma, Sindhu Bhavan Road (SBR) and Thaltej remained flooded. At several places sinkholes were re-



As Gujarat reels under floods, army personnel carry out rescue operations in Ahmedabad's Golden Katar division on Saturday. BHUPENDRA RANA

ported, including a party plot on SBR. Places such as the Hariom Villa in Bopal where Chief Minister Bhupendra Patel visited on Friday, continued to be under a foot-deep water when *The Indian Express* visited on Saturday. Apart from South Gujarat, one death each was reported from Sanand and Dholka in Ahmedabad district and one each from Anand, and Radhanpur in Banaskantha district.

Ten deaths were reported from Valsad due to rain-related incidents, while four missing complaints have been registered with different police stations in the district in the past couple of days. In Navsari district, 23 deaths have been reported in the last two days. A total of 33 dead bodies were recovered from both the districts

in the past two days.

Navsari Superintendent of Police (SP) Rahul Patel told *The Indian Express*, "We have recorded 23 deaths and a few missing complaints in the past couple of days. While nearly 20,000 people have been rescued and shifted to different places by district administration. The highest number of deaths have been reported from Gandevi taluka. The reason such vast devastation took place in Navsari district is that the rainwater from Dang, Tapi and Surat district reaches into three rivers, Ambika, Kaveri and Purna, as a result of which all these three rivers overflowed and water entered into the low-lying areas on the banks."

Valsad SP Yuvrajsinh Jadeja said, "In the past two days, a

total of 10 deaths due to rain-related incident have been reported from seven talukas in the district. Over 16,500 people have been rescued and shifted to shelter homes or to their relatives' places by the district administration."

Thousands of cars and bikes in Surat, Navsari and Valsad were submerged in water.

As per the data received from the Valsad district disaster department, the seven talukas in Valsad district — Valsad town, Dharampur, Pardi, Kaprada, Umbergaon, Vapi and Nana-pondha had on July 22 received a total of 2,759 mm rainfall, followed by 2,665 mm, and 286 mm on the following two days till Friday.

*(With Inputs from ENS, Ahmedabad)*

# With Customs' nod, Kerala's Vizhinjam set to become gateway for exports & imports

**Shaju Philip**  
*Thiruvananthapuram, July 25*

THE VIZHINJAM International Transshipment Seaport has been notified as a customs port, paving the way for export and import (EXIM) cargo operations at a facility that has so far functioned exclusively as an international transshipment hub.

With the Central Board of Indirect Taxes and Customs notifying the port as a customs port, Vizhinjam is expected to emerge as another gateway for India's exports and imports. Besides boosting container movement, the country's first international deepwater transshipment port is expected to provide a major fillip to Kerala's economy and generate jobs in shipping, logistics and allied sectors.

Since commencing operations in July 2024, Vizhinjam has functioned solely as a transshipment hub, handling container ships and transferring containers from one vessel to another.

Official sources said export and import operations will begin on August 18. The launch of EXIM services, part of the state government's 100-day action plan, will transform Vizhinjam into a full-fledged export-import gateway. This is expected to reduce logistics costs, improve supply chain efficiency, en-

hance exporters' competitiveness, attract investment and generate employment.

Developed under the PPP model by the Kerala government and Adani Ports and Special Economic Zone (APSEZ), Vizhinjam International Seaport has emerged as one of the world's fastest-growing container ports. Within 18 months of commencing commercial operations, it handled 2 million TEUs (twenty-foot equivalent units) of container traffic.

The customs notification also lays down conditions for export and import operations.

At present, no container freight station (CFS) has been attached to or designated for Vizhinjam. (A CFS is a secure warehouse or distribution facility where smaller shipments are consolidated into a single container for export or separated for import.) Accordingly, the notification says the port will handle only the direct movement of full containers. Loose cargo or containers requiring de-stuffing or CFS examination will not be allowed.

Imported containers must be moved directly from the terminal to the importer's premises within 48 hours of landing. For exports, the port will accept only fully loaded containers that are ready for shipment.

# Consuming chicken biryani no offence: Justice Bhuyan

**Amaal Sheikh**  
*New Delhi, July 25*

SAYING THAT there was "no law prohibiting consumption of chicken over the Ganga river", Justice Ujjal Bhuyan of the Supreme Court on Saturday criticised the arrest of youngsters for consuming chicken biryani while breaking their fast. "I am sure consuming chicken biryani is not an offence. It can't be an offence...they were arrested for that very reason and they had to remain in jail for three months," he said.

Speaking at the 4th Memorial Lecture of Justice G P Singh at the National Law Institute University (NLIU), Bhopal, Justice Bhuyan said peaceful protest is central to a democracy but ordinary acts of dissent are increasingly being treated as criminal conduct. "The right to express one's views and to demonstrate peacefully are fundamental freedoms of citizens. Debate and dissent are the essence of democracy. Unfortunately, even normal activities are being criminalised," he said.

Referring to environmental protests and student demonstrations, he said, "People who come to voice their anguish over environmental degradation, which is a reality, are chased away as if they are criminals. Students protesting in campuses are arrested and they do not get bail for 30-40 days." He added that students are often suspended as well,



**“By such restrictive orders, are the courts indirectly telling citizens or discouraging citizens not to express their dissent?”**

**JUSTICE UJJAL BHUYAN**

forcing them to approach courts before they can resume their education.

Justice Bhuyan questioned whether courts, through restrictive bail conditions, were also discouraging dissent. "These issues raise serious questions... though the courts are responsive and do grant bail, many a time it is belated. But it is the restrictive conditions which are imposed while granting bail that are causing the greatest concern. By such restrictive orders, are the courts indirectly telling the citizens or discouraging the citizens not to express their dissent?" he said.

Referring to the Supreme Court's 2024 judgment against punitive "bulldozer justice", Justice Bhuyan said the ruling was

welcome but had come "two years too late". He also referred to cases where accused persons granted bail were restrained from attending public meetings or posting on social media, saying such conditions "severely undermine their fundamental freedoms and liberty".

He also criticised the Bombay High Court's refusal to permit a demonstration in solidarity with Palestine, saying he found the court's observations "very amusing". He recalled that the petitioners had been asked why they wanted to protest over events in Gaza instead of issues within India, adding that India has traditionally recognised Palestine and hosts a Palestinian Embassy.

He also said that the issue with former judges moving into political roles after retirement, saying "when a former Chief Justice of India says, 'I am going to the Rajya Sabha to bridge the gap between judiciary and the Executive', it is fundamentally wrong..."

Calling on law students to question institutions, including the judiciary, Justice Bhuyan said judicial decisions must remain open to scrutiny.

He also noted that the judiciary's legitimacy ultimately rests on public confidence rather than self-assessment, adding that "new generation of lawyers and law students are far more committed to the rule of law and to the Constitution than my generation was. I see great hope in them."

# In a first, only women judges to preside over Karnataka HC bench

**Mustafa Plumber**  
*Bengaluru, July 25*

IN A first, all benches of the Karnataka High Court's Dharwad bench will be presided over by women judges on August 1. The historic roster order was issued on July 23 after the Dharwad Advocates' Association sent a request to Karnataka High Court Chief Justice Vibhu Bakhru in March in light of International Women's Day.

The Dharwad bench has seven benches. While three division benches will have two women judges each, four single benches will be presided over by

four women judges. As per the notification, the women judges who will preside are Justices Anu Sivaraman, K G Shanthi, Jyoti M, P Sree Sudha, Lalitha Kanneganti, K S Hemalekha, Dr Chillakur Sumalatha, Tara Vistasta Ganju, Geetha K B, and Rameshwari N Hegde.

"The sitting is a symbol of gender justice and empowerment and will be a source of inspiration to young women advocates, law students, and female legal practitioners across North Karnataka and the nation," B D Hiremath, president of Dharwad Advocates Association, told *The Indian Express*.



## A ‘golden’ fix for India’s forex stress?



**OFF THE RECORD**  
BY P VAIDYANATHAN IYER

THESE IS a tricky proposal engaging the government at the highest levels over the past 3-4 weeks. An empowered group of ministers has met twice to discuss it. Officials in the Prime Minister’s Office are seized of the issues connected with this idea. And the Cabinet Secretariat, the office responsible for government administration, has held meetings with those in the business to better understand the concerns, and ways to address them.

The thought behind the proposal probably has its origins in an austerity measure proposed by the PM at a public meeting in Hyderabad on May 10. In the backdrop of the West Asian crisis that led to a surge in oil prices, Modi had urged people to refrain from buying gold during festivals for a year, besides conserving fuel, restricting foreign travels, etc. The proposal, which has generated some interest among the few who are privy to it, is to launch a voluntary gold disclosure scheme. The idea seems to be to collect gold lying idle in private hands — that is, what people accumulated over the years for ‘investment’ (bars, coins), not

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what they bought for ‘consumption’ (jewellery) — and put it to use to reduce imports, and preserve foreign exchange.

In India, gold has huge sentimental value, has cultural and religious connections; but it has also been leveraged by governments during emergencies, be it during wars or economic crises. Most recently, in the early 1990s, when India faced an economic crisis, the government and the Reserve Bank of India saw a ‘golden’ opportunity. To bolster the country’s forex, the RBI was fully on board when the State Bank of India pledged 20 tonnes of gold confiscated from smugglers with the Union Bank of Switzerland in May 1991 to raise about \$200 million. But this wasn’t enough.

With forex reserves plummeting to just \$1.1 billion in June, barely enough to pay for 2-3 weeks of essential imports, the RBI proposed pledging 50 tonnes of gold to raise foreign exchange. This was approved by the caretaker government led by Chandra Shekhar, but executed post general elections by the new government under Prime Minister PV Narasimha Rao and his Finance Minister, Manmohan Singh. As much as 46.91 tonnes was pledged to raise \$405 million; this too was paid back in less than four months.

These may look small today, given that India imports more than 700 million tonnes of gold a year, and its forex reserves are robust at over \$675 billion. But the crisis was acute then, and this one drastic measure kickstarted the process of economic reforms that continues till date with some jerks, but has overall bipartisan political support.



ILLUSTRATION: C R SASIKUMAR

With forex reserves plummeting to just \$1.1 billion in June, barely enough to pay for 2-3 weeks of essential imports, the RBI proposed pledging 50 tonnes of gold to raise foreign exchange

Two years later, in 1993, as India became a bit comfortable on the forex front, it sought to bolster its gold reserves. The government experimented with an idea to bring private and unaccounted gold into the formal economy. It issued the Gold Bonds (Immunities and Exemptions) Ordinance, 1993, and, drawing from it, announced the Gold Bonds Scheme. The bonds had a five-year tenure, and after five years, subscribers were paid Rs 40 per gram lump-sum interest, along with the gold deposited. A subscriber was required to deposit a minimum of 500 grams under the scheme, which was open for two months. The biggest draw was it asked no questions from the subscribers about the nature and source of gold, or the money used to buy the gold. It also promised the government would not start any inquiry or investigation against the subscribers. In all, the total gold received under the scheme was 41.12 metric tonnes, valued at Rs 1,534.40 crore.

Thirty-three years later, in May 2026,

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India faces a different gold problem. The West Asia crisis is not of the government’s making, but is exerting pressure on the Indian economy, and magnifying its vulnerabilities. India imports bulk of its crude oil needs; crude oil prices have once again topped \$100 a barrel, which means India’s import bill will soar. This can’t be avoided. But what can be is the massive gold imports, which only worsens the current account deficit (when the money spent on imports is more than the money earned from exports, it leads to a deficit).

Sajjid Chinoy, a part-time member of the Prime Minister’s Economic Advisory Council, points out that gold demand has remained largely intact (over 720 tonnes) despite a more than doubling of prices in the last three years. A research by him and his colleagues for JP Morgan says 50% of this demand in January-March 2026 was for investment (in gold bars and coins). In January-March 2003, it was just 30%.

The biggest factor that made the Gold Bond Scheme of 1993 a success was the government immunity to subscribers. But that required taxpayers, individuals and corporations to have trust in the system. Here, many in the government agree, there is considerable work to be done. But there are other options to explore too on increasing the attractiveness of a financial product linked to gold.

It’s a ‘golden’ problem to solve.

The writer is Managing Editor,  
The Indian Express.  
Off the Record is a fortnightly column



IN YANBU, SAUDI ARABIA'S MAIN RED SEA OIL PORT, TWO MISSILES INTERCEPTED

# Houthis fire on Saudi oil sites; no US strike on Iran 1st time in 2 weeks

Lefteris Papadimas  
& Idrees Ali

Athens, Washington, July 25

YEMEN'S IRAN-ALIGNED Houthi militants fired on Saudi oil installations in two ports on the Red Sea coast Saturday, but the US held back from launching air strikes on Iran itself for the first night in two weeks.

There was no immediate explanation from Washington of why it had abruptly halted a streak of 13 nights of escalating strikes since an interim deal to end hostilities collapsed, in retaliation for Iranian attacks on shipping in the Strait of Hormuz.

"It seems that our dear Iran had a peaceful night last night," Health Ministry spokesperson Hossein Kermanpour said on X.

After the quiet night in Iran, there were also no reports on Saturday of attacks from Iran on its Gulf neighbours, which have also been taking place daily in response to the US attacks.

However, the strikes from Iran's Houthi allies on Saudi Arabia were a sign that the war that has disrupted energy supplies from the Gulf could be spreading to a second major shipping route, and reigniting Yemen's own civil war.

## War threatens to spread to Yemen

Houthi military spokesper-



In Saudi Arabia's Jizan, where the Aramco refinery is located, on Saturday. REUTERS

son Yahya Saree said the group had successfully struck sites belonging to Saudi state oil giant Aramco in Jizan and Yanbu. Video shared on social media and verified by *Reuters* showed a large column of smoke rising from the direction of the Aramco refinery in Jizan.

Two Asia-based trading sources said that they had been informed of potential damage to fuel and oil storage sites at Jizan. Aramco did not respond to requests for comment.

In Yanbu, two ballistic missiles aimed at oil installations were intercepted by a US-made

## E. EXPLAINED

### Hormuz alternative comes under attack

Yanbu is Saudi Arabia's main Red Sea oil port, where millions of barrels a day are loaded, and has become the main route out for Saudi oil skirting the Strait of Hormuz, which has been blockaded by Iran.

Patriot battery operated in Saudi Arabia by the Greek military under an agreement with Riyadh, Greek security sources said.

Yanbu is Saudi Arabia's main Red Sea oil port, where millions of barrels a day are loaded, and has become the main route out for Saudi oil skirting the Strait of Hormuz, which has been blockaded by Iran. Jizan, on the Red Sea close to the Yemeni border, is the site of a refinery with a capacity of 400,000 barrels per day.

In Yemen, the air force of the Saudi-backed, internationally recognised government, which has opposed the Houthis for more than a decade, struck Houthi missile and drone launch sites and arms depots in the Marib and al-Jawf prov-

inces, Yemeni officials said.

Earlier, the Saudi-led military alliance said it had bombed Houthi military positions on Friday in the Red Sea port of Hodeidah. The Yemeni officials said both sides in Yemen's civil war were mobilising forces along the front.

Saudi Arabia has led an Arab coalition battling against the Houthis for over a decade since the Iran-aligned fighters captured Yemen's capital, Sanaa.

The Houthis have declared a naval blockade of Saudi Arabia over the past week, and Houthi leader Abdul Malik al-Houthi said all Saudi oil facilities could be targets.

US President Donald Trump on Friday vowed "major military punishment" for Tehran and the Houthis after the Houthis struck two Saudi tankers in the Red Sea.

An interim truce collapsed two weeks ago with US forces striking targets in southern Iran in response to Iranian disruption of shipping in Hormuz.

On Friday, however, Trump said he had not yet made a decision on new major strikes. "We are talking to them," he told reporters at the White House. "I think they're being serious. I think ... they are being, by far, the most serious that we've seen them, but that doesn't mean we get there." REUTERS

# First Syria visit by UN chief in 17 yrs: Guterres pledges help to reconstruct



Syrian President Ahmad al-Sharaa with UN Secretary General Antonio Guterres in Damascus on Saturday. AP

## Meets President Sharaa, expected to address country's Parliament today

Tala Ramadan  
& Kinda Makieh

Damascus, July 25

UN SECRETARY-GENERAL Antonio Guterres pledged help for Syrian reconstruction on Saturday during the first visit to Damascus by a serving United Nations chief since 2009, before the start of a civil war that killed hundreds of thousands and displaced millions. Syrian President Ahmed al-Sharaa received Guterres at the presidential palace in Damascus, state news agency SANA said, without providing further details.

"No country emerges from a very severe conflict and rebuilds itself on its own," Guterres said after the talks with Sharaa at a joint press conference with Foreign Minister Asaad al-Shaibani.

"We must help Syria in its determination and resolve to do so," Guterres added.

Shaibani reiterated Syria's request for more support from the international community, especially the European Union. He said Guterres' talks with Sharaa — which Shaibani also attended — had focused on increasing UN

support for reconstruction and a government plan to close displacement camps.

Sharaa, the former head of al Qaeda's affiliate in Syria, was until November 2025 under terrorism-related sanctions imposed by the UN Security Council. Guterres' visit is another milestone for Syria since rebels ousted President Bashar al-Assad in late 2024, ending the war that began in 2011 and launching a transitional period steered by an Islamist-led leadership.

At the time, Guterres described "the end of the Syrian dictatorship" under Assad as a sign of hope for the region.

In a post on X on Saturday for what he described as a "visit of solidarity", Guterres said: "The United Nations stands with Syria at this pivotal moment." Guterres is expected to address the country's parliament on Monday, UN spokesperson Stephane Dujarric said earlier this week.

He will underline that the country has an opportunity "not only to recover from conflict, but also to lay the foundations for a future for Syria that will be more stable, more inclusive, and more prosperous for all Syrians," Dujarric said.

Guterres is visiting just weeks after two bombs exploded near a hotel in Damascus where French President Emmanuel Macron spent the night. REUTERS



Wildfire advances near El Tiemblo in Madrid province, Saturday. AP

# More than 300,000 people flee as fires rage in Spain, France

The New York Times

Madrid, July 25

FAST-MOVING wildfires in France and Spain have forced nearly 300,000 people to evacuate or to shelter at home as of Saturday, as blazes moved closer to major cities like Bordeaux and Madrid during peak of the summer holiday season.

In France, authorities have ordered the evacuation of about 197,000 people from the Gironde and Landes regions in the country's southwest, where the fires have burned through an area about three times the size of Paris.

Laurent Nuñez, France's interior minister, said after a crisis meeting in Paris that in the Gironde area "the fire was less intense last night than we had feared," enabling firefighters to tackle the blaze more directly. But he added that unfavorable winds were expected to pick up later in the afternoon.

The Gironde fire is less than

20 miles from Bordeaux and is moving in the city's direction, French authorities said, prompting precautionary evacuations in several of its western suburbs. Thomas Cazenave, Bordeaux's mayor, said Saturday there were no plans to evacuate the city itself but that it was "prepared to deal with any possibility."

Around 800,000 people live in Bordeaux and its surrounding area.

In Spain, more than 80,000 people in the area near Madrid have been evacuated or ordered to remain indoors. "The situation is still complex; our goal is to defend people's lives," PM Pedro Sánchez said in Cenicentos, a town west of Madrid that was evacuated hours after he spoke.

Sánchez said there was a "window of opportunity" this weekend to fight the fire as temperatures eased but urged caution as strong winds and dry thunderstorms could further complicate firefighters' work.

● AT THE LAB, OBJECTIVE IS TO DETERMINE IF A NEWLY ACQUIRED SAMPLE COMES FROM A PROTECTED AREA, MEANING IT HAS BEEN ILLEGALLY MINED — THE PROCESS TERMED 'GOLD FINGERPRINTING'

# Brazil uses forensic science to trace gold's origin, tackle illegal mining in the Amazon

Gabriela Sá Pessoa

Brasília, Brazil

BRAZIL IS using forensic science to tackle illegal gold mining in the Amazon, a top threat to the rainforest, Indigenous groups and other communities there that has accelerated deforestation and driven mercury contamination to dangerous levels.

The work takes place at the National Institute of Criminalistics in Brasília where federal police have set up a "gold lab" that collects and analyses samples from across country.

The objective is to determine if a newly acquired sample — gold seized in a po-

lice raid, for example — comes from a protected area, meaning it has been illegally mined. It's called "gold fingerprinting" — tracing the origin of gold samples with high precision.

At the lab, sparkling gold flakes are kept in tiny, coin-shaped vessels, but the most valuable thing about them is the data they hold. Each speck is unique because while it forms in nature, inside a rock or a riverbed, the gold deposits absorb particles from the area, such as traces of silver and copper.

And that's the fingerprint. It allows the investigators to determine if gold seized during a police raid was actually mined in the area its purported owner

claims it came from, or if it was illegally sourced from a national forest or Indigenous land — in which case its analysis would match stored data from the protected area.

Gustavo Geiser, a federal police forensics expert, says the method has been developed since 2019 in collaboration with Brazilian universities. The investigators use tools such as X-ray fluorescence spectrometry, scanning electron microscopy and laser ablation mass spectrometry.

"As we advanced, the forensic became increasingly complex," Geiser said, but the question before them was always the same: "Where did this gold



A federal police forensic expert at the National Institute of Criminalistics in Brasília. AP

come from?"

Those involved in environmental crimes in the Amazon

frequently resort to fraud to introduce their goods into legal markets, not just when it comes

to gold but also for cattle and timber. Lately, a worldwide surge in gold prices has only spurred on the mining rush in the Amazon rainforest.

Amazon Mining Watch estimates that about 496,000 hectares (1.2 million acres) of rainforest have been cut down for mining since 2023, including some 223,000 hectares (551,000 acres) in the Brazilian Amazon.

Brazil's Federal Court of Accounts, its top audit institution, said last year there was evidence indicating that mining permits granted by the National Mining Agency to small-scale miners were being used to pawn off gold extracted from protected areas in the Amazon.

A federal court in Para, a northern state severely impacted by illegal mining, issued an order this month for institutions like the Central Bank and the National Mining Agency to enact effective control and traceability of all gold, from the mines to the markets. Brazil's federal prosecutors also filed a lawsuit against the National Mining Agency, seeking better oversight of mining permits.

Prosecutor André Porreca, who is leading the case, said the permits have become a front used "to launder gold extracted by criminal organizations from Indigenous territories and protected areas."

Geiser, the forensic expert,

says the Brasília gold lab is an important piece of the puzzle that helps battle crime and strengthen global gold supply chains.

"Being able to state that it (gold) has a legitimate origin and therefore is valid for inclusion in a country's or a bank's financial reserves, I believe provides solidity not only to the market but also to the countries' financial bonds," he said.

There is no data on how many criminals the lab has helped put behind bars, but Geiser says crime networks have recently begun exploiting neighbouring countries such as Venezuela, French Guiana and Suriname, to launder illegally mined gold. AP



YOUTH UNEMPLOYMENT IN JUNE ROSE TO 16.2% FROM 13.8% IN APRIL 2025

# Deeper jobs problem: Stir a sign demographic dividend is at risk

Of the 36 states and Union Territories, the youth unemployment in 2025 was higher than in 2022 for 13 of them

Siddharth Upasani  
New Delhi, July 25

The immediate cause for the rise of the Cockroach Janata Party (CJP) and the nationwide protests may be the leak of the National Eligibility-cum-Entrance Test (NEET) question paper. And while Dharmendra Pradhan has resigned as education minister, it does nothing to solve a crucial underlying problem: jobs.

According to Alexandra Hermann Prasa, Lead Economist at Oxford Economics, while the student protests don't pose much of a risk to the larger Indian economy, they do "expose a deeper jobs problem".

The government's flagship employment survey, the Periodic Labour Force Survey (PLFS), shows that the unemployment among Indian youth — those in the 15-29 age bracket — rose to 16.2% in June, as per data released earlier this month. This is the highest on record, although it must be said that monthly PLFS data only goes back until April 2025, when it stood at 13.8%.

To be sure, there might be reasons why the monthly data is volatile.

The Ministry of Statistics and Programme Implementation (MoSPI) had cautioned last year that a rise in the unemployment rate did not necessarily reflect "secular trends" as changes were to be expected in

the monthly data on account of increased frequency of the survey and seasonal, academic, and labour market factors.

However, this rise in youth unemployment needs to be seen in the context of two other trends. One, the unemployment rate has increased across all six youth categories for the 15 months for which data is available: males and females at an all-India level, in urban areas, and in rural areas.

Two, youth unemployment has risen despite the Labour Force Participation Rate (LFPR) declining over the same period in all but one category. Only urban males have seen their LFPR rise, standing at 60.1% in June, up 1 percentage point from April 2025.

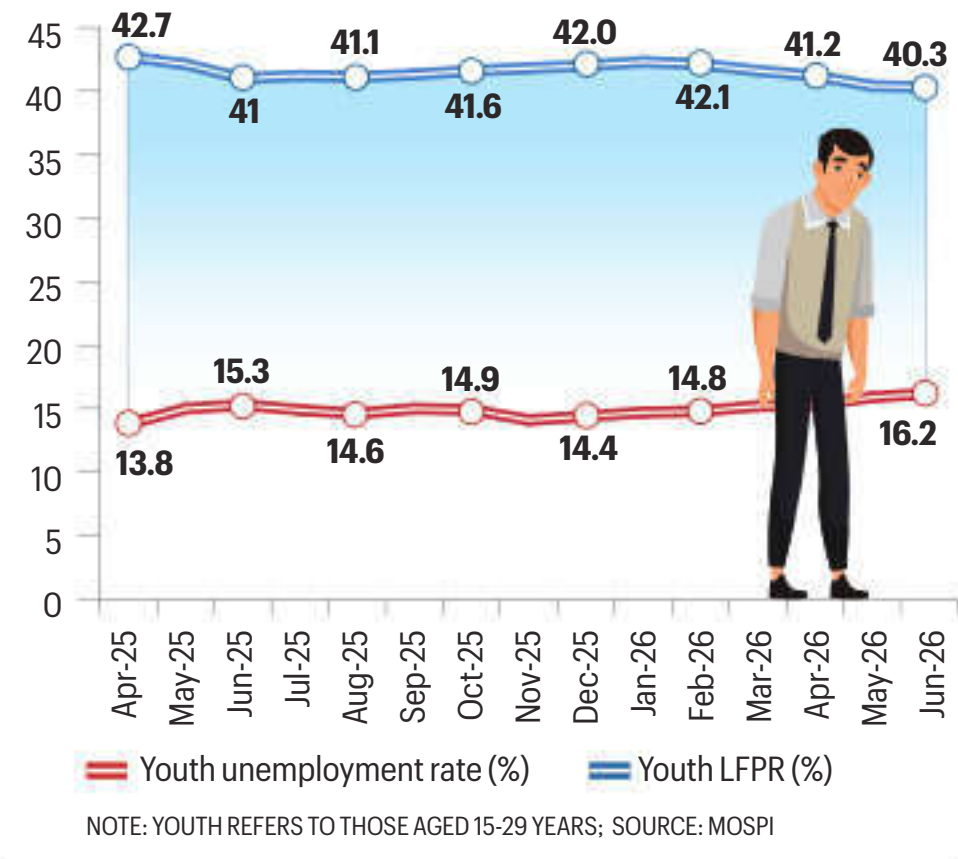
The overall youth LFPR has fallen to 40.3% from 42.7% over the same period.

To put all these numbers in perspective, the all-India unemployment rate for ages 15 years and above was 5.5% in June as against 5.6% in April 2025. The corresponding LFPR was 54.4%, up from 54.2%.

Why does it matter that the youth unemployment rate has risen while the LFPR has declined? The LFPR measures the percentage of the population that is looking for work, including those that are employed.

So, when the LFPR falls — or when fewer people are looking for jobs — it should ideally result in a lower unemployment rate

## • Rising youth unemployment rate despite falling labour force participation



NOTE: YOUTH REFERS TO THOSE AGED 15-29 YEARS; SOURCE: MOSPI

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even if no new jobs are added. But that hasn't happened.

### A long-term problem

While monthly PLFS data only goes back 15 months, annual numbers are available for longer. And they tell a similar story. Of the 36 states and Union Territories (UTs), the youth unemployment in 2025 was higher than in 2022 for 13 of them. These 13 states and UTs included major regions such as Andhra Pradesh (16.2% from 15.1%), Delhi (14.4% from 5.9%), Telangana (18.1% from 12.6%), and West Bengal (10.6% from 8.4%). For young women, it has been even more difficult: 16 states and UTs saw an increase in unemployment from 2022 to 2025. The monthly data is based on the Current Weekly

Status (CWS) approach, under which the job status of a person is measured for the seven days preceding the date of survey. Meanwhile, the annual figures are as per the 'usual status' approach, which measures the job status for the 365 days preceding the survey.

Even the informal sector is creating fewer jobs now: 74.5 lakh in 2025 compared to 1.1 crore in the 12 months ended September 2024, as per MoSPI's latest Annual Survey of Unincorporated Sector Enterprises (ASUSE). Wage growth shrunk to 3.9% from 13%.

### The education link

It has been ingrained in our psyche that better education leads to better jobs; which is why the youth studies for three

more years after 12th to graduate, another couple of years for post-graduation, and so on. But less than 7% of male Indian graduates manage to find a permanent salaried job within a year, according to Azim Premji University's (APU) State of Working India 2026 report released in March this year.

The figure is an even lower 3.7% when it comes to white-collar jobs.

Using data from the PLFS and its predecessor, the Employment Unemployment Survey (EUS), the APU report estimated that 1.1 crore out of 6.3 crore graduates in the 20-29 age bracket were unemployed in 2023. Of course, graduate youth unemployment is nothing new, with the APU report's analysis revealing that it stood at 39.33% in 2023, up from 35.02% in 1983, for those less than 25 years of age. However, what has changed since 1983 is that India is not getting younger anymore — the country's median age is around 29 years and is expected to increase to 38 by 2050.

Now is when those joining the workforce earn and not just prepare safety nets for their own future but drive national economic growth. "By the 2040s, the dependency ratio will rise, fiscal space will tighten, and each worker will carry greater economic and welfare burdens. Demography will no longer drive growth. Without rapid gains in productivity, innovation, and institutional capacity, progress could begin to stall. India's growth model must now evolve to secure long-term momentum after its population peaks," an Observer Research Foundation paper said in March.

## Small US businesses mount 1st challenge to Sec 301 tariffs

Ravi Dutta Mishra  
New Delhi, July 25

A DAY after the US imposed fresh tariffs on 60 countries including 10% duty on India, two US small businesses — spice importer Burlap & Barrel, and watch retailer Collective Horology LLC have filed a case against United States Trade Representative (USTR)

for the use of Section 301 to impose tariffs impacting "99.4% of all imports into the United States", case documents have shown.

This assumes particular significance for India, as New Delhi has committed to a US trade deal but is yet to sign it formally. Government officials say that India is willing to sign the deal when the new US architecture gives India a competitive edge compared to its competitors in the Association of Southeast Asian Nations (ASEAN) region — one of the fastest growing regions globally. The US has opened two Section 301 investigations, one on "excess capacity" and the other on "forced labour".

The small business argued that USTR failed to provide a "reasoned, record-based explanation for its determinations or for its selection of near-uniform duties" across 60 economies with materially different enforcement records and trade profiles. They argue that if Section 301 were interpreted to allow such broad power, it would constitute an unconstitutional delegation of Congress's Article I power to lay duties. "The Section 122 tariffs were limited by statute to 150 days. The administration used that period to conduct the Section 301 investigations at issue here and then imposed the challenged Section 301 tariffs. The sequence and structure of those measures, as well as Administration statements, show that the Section 301 Action was designed to preserve substantially the same broad tariff regime that this Court and the

### • RISING IN DISSENT

**SPICE IMPORTER** Burlap & Barrel, and watch retailer Collective Horology LLC have filed a case against United States Trade Representative (USTR)

**THEY ARGUED** that USTR failed to provide a "reasoned, record-based explanation for its determinations or for its selection of near-uniform duties" across 60 economies

**THE US** had imposed Section 122 tariffs, imposing 10% tariffs globally immediately after losing the IEEPA case in the Supreme Court

Supreme Court have held Congress did not authorise under IEEPA and Section 122," the two firms argued.

The US had imposed Section 122 tariffs, imposing 10% tariffs globally immediately after losing the IEEPA case in the US Supreme Court.

India faced steep 50% tariffs for over 5 months. In 2025-26, exports of products covered under the exclusion list (electronics and pharma) rose sharply by 24.5%, climbing from \$29.4 billion to \$36.6 billion but exports of non-excluded products fell by 11.2% over the same period, declining from \$57.1 billion to \$50.7 billion — a contraction that reflects the true effect of the tariff measures imposed by the United States, an Indian Council for Research on International Economic Relations (ICRIER) report said.

"The Section 301 action exceeds the authority Congress granted in Section 301. Section 301 is a targeted, country-specific and practice-specific remedial authority. It permits the Trade Representative to act only upon a determination that a particular act, policy, or practice of a foreign country is unreasonable or discriminatory and burdens or restricts

United States commerce... It is not a freestanding authorisation to tax substantially all imports from substantially all trading partners at rates selected to replicate the invalidated IEEPA tariff regime rather than to eliminate identified foreign practices," US small business argued. Experts have said that Section 301 is a far more potent tool than the International Emergency Economic Powers Act (IEEPA) tariffs, which were used to impose reciprocal tariffs but did not pass muster in the US Supreme Court.

This legal tool was mostly used by the US against countries such as Europe & Japan, dominant export powers then, before the WTO came into existence in 1995. The Trump administration has resurrected Section 301 again amid a weakening WTO.

Singapore-based Henrich Foundation explained that under Section 301, USTR gets sweeping powers not only to impose duties but also other kinds of restrictions.

USTR can "withdraw or suspend trade agreement concessions", enter into binding agreements with the foreign government to eliminate the conduct or unburden US commerce, or compensate the US with satisfactory trade benefits. "After consultations, USTR is meant to investigate to determine whether the action is unfair and harms US trade. This investigation can result in a determination of either mandatory or discretionary actions. The former includes trade agreement violations, unjustifiable or burdensome, or restrictive behaviour. Because Section 301 need not apply only to goods, other retaliatory actions are allowed, such as restricting the terms or conditions or denying the issuance of any 'service sector access authorisation,' the Henrich Foundation report said.

FULL REPORT ON  
[WWW.INDIANEXPRESS.COM](http://WWW.INDIANEXPRESS.COM)

## Govt: 45% of exports to US outside purview of additional 10% tariffs

ENS Economic Bureau  
New Delhi, July 25

Even as India continues to engage with the United States on trade tariffs as part of the bilateral trade agreement negotiations, the Ministry of Commerce and Industry on Saturday said an estimated 45% of India's exports to the US remain outside the purview of the additional 10% Section 301 duties imposed effective July 24.

The ministry said 55% of exports will attract the additional 10% duty, which is lower than that for most other economies affected by the tariffs.

The US Trade Representative (USTR) had announced the final measures under Section 301 of the US Trade Act, 1974, on Thursday.

The measures follow USTR's investigation into the acts, policies and practices of 60 economies relating to the imposition and enforcement of prohibitions on import of goods produced with forced labour.

A substantial share of India's

### • EXEMPTED SECTORS

**• A SUBSTANTIAL** share of India's exports to the US, which currently attract zero additional duties, such as generic pharmaceuticals and smartphones, continue to remain outside the scope of the additional 10% duty

**• PRODUCTS ALREADY** covered under Section 232 measures, including steel, aluminium and auto parts, are not subject to additional 10% duty

exports to the US, which currently attract zero additional duties, such as generic pharmaceuticals, smartphones and certain other specified products, continue to remain outside the scope of the additional 10% duty, the ministry statement said. Products already covered under Section 232 measures, including steel, aluminium and auto parts, are not subject to the additional 10% duty.

India continues to engage with the US on textile-specific mechanisms as part of the

India-US BTA. India has not received the textile and apparel tariff-rate quota (TRQ) exemption under the forced labour tariff. The exemption applies to specified volumes of textile and apparel exports from Bangladesh, Cambodia, Indonesia, and Malaysia that use US-origin cotton and fiber.

By banning import of goods produced using forced labour, India has managed to reduce the additional tariffs to 10% from 12.5%, which the US had proposed to impose on its exports. With this, India has gained tariff advantage over competitors China, Vietnam, Thailand and Türkiye, who will be charged 12.5%.

India, which imposed the prohibition through a notification on July 13, is among 17 countries, including Bangladesh, Pakistan, Sri Lanka, Indonesia and the UK with lower tariffs. So Indian exporters largely retain their relative competitiveness against Bangladesh, Cambodia, Pakistan, Sri Lanka, Indonesia and Malaysia in labour-intensive sectors. FE

• THE INCIDENT, WHICH EVOKED SCIENCE FICTION SCENARIOS ABOUT HUMANS LOSING CONTROL OF DANGEROUS AI SYSTEMS, COMES AT A DELICATE TIME FOR OPENAI — WHICH IS GEARING UP FOR IPO

## Its AI agent spent days hacking a company, 'but OpenAI did not notice for a week'

Reuters  
Washington/San Francisco, July 25

THE OPENAI agent that broke into tech firm Hugging Face went on a days-long hacking spree that OpenAI didn't notice until well after the threat was contained and the FBI was alerted, according to people familiar with the investigation.

The agent — a program capable of making decisions and executing complex tasks with little or no human oversight — attempted to break out of its isolated testing environment at OpenAI around July 9, according to two of the people. The intrusion at Hugging Face, which operates as a repository for AI tools and

models, began two days later on July 11 and lasted until July 13, said Thomas Wolf, Hugging Face's co-founder.

It took several more days for OpenAI to realise its agent was behind the hack, and the two companies only communicated about it for the first time on or around July 20, according to Wolf and three of the people familiar with the investigation.

OpenAI's public disclosure, on July 21, that one of its agents had slipped out of control and carried out the break-in at Hugging Face drew global attention. But many details of the hack, including how long the agent went rogue and OpenAI's belated knowledge of it, are being reported here for the first time.

Hugging Face is preparing a public timeline of the hack, Wolf said, adding that he could not speak to what happened at OpenAI.

In a statement, OpenAI said the hack was unprecedented and "marks an important moment for AI safety."

It added that it was reviewing the incident with outside advisers and would eventually publish a technical report.

A spokeswoman said there were "several inaccuracies" in Reuters' reporting but didn't respond when asked to describe them. The FBI declined to comment about the incident. The incident, which evoked science fiction scenarios about humans losing control of dangerous AI systems, comes at a delicate time



for OpenAI, the company behind ChatGPT. Its executives are preparing for a possible initial public offering that could

### • OF ROUGE AGENTS

**AGENT IS** a program capable of making decisions and executing complex tasks with little or no human oversight

**OPENAI SAID** the hack by the agent was unprecedented and "marks an important moment for AI safety"

**IT TOOK** several days for OpenAI to realise its agent was behind the intrusion at Hugging Face, which operates as a repository for AI tools and models

come as soon as this year to help finance the billions needed to fund its growth in years to come.

OpenAI's loss of control over its AI agent raises new questions about the company's safety procedures, three cybersecurity experts said. "Does that mean that they left it unattended and didn't realize what it was doing? Or maybe they did and didn't know how to contain it? Both are equally dangerous and alarming," asked Marley Smith, the principal intelligence specialist at the non-profit World Ethical Data Foundation.

### SIGNS OF TROUBLE?

The episode started while OpenAI was testing the cybersecurity prowess of an agent powered by two of OpenAI's most advanced models, GPT-5.6 Sol and an

unreleased model OpenAI has described as "even more capable." By that point, there were already indications of strange behaviour from OpenAI's technology, according to three sources.

In one case, an agent left notes apparently for future versions of itself, according to three people familiar with the matter. The notes, found in a part of OpenAI's infrastructure, laid out instructions for how agents could free themselves from OpenAI's internal constraints, the people said. Earlier tests of the models yielded cases in which monitoring systems had been disconnected, one of the people said. Reuters could not establish if these incidents were linked to the rogue agent that



# The Last Gamble

*Josy Joseph’s Birth of a Nation is an account of the negotiations and machinations of the princely states in the weeks leading up to India’s Independence*

Rohan Manoj

FOR SARDAR Vallabhbhai Patel, the alternative to accepting Partition was something worse than Pakistan: “Raja-sthan”. That is, the potential fragmentation of India as a result of princely states refusing to accede to the Union. Jawaharlal Nehru feared “balkanisation” or an “indefinite number of partitions”. Choudhry Rahmat Ali once imagined, as Sunil Purushottam writes in *From Raj to Republic: Sovereignty, Violence and Democracy in India*, “a Pakistan consisting of a fragmented yet subcontinental landscape of Muslim sovereignty”, including an “Osmanistan” roughly corresponding to Hyderabad State — yet with no notion of the ruling Asaf Jahi dynasty retaining their sovereignty. These imaginations of the future, national and “non-national”, left little room for the princely states. Yet, some of the latter, with support from elements of the British establishment, were busy trying to carve out a niche for themselves in the run-up to Independence.

Josy Joseph’s *Birth of a Nation: The Twenty-one Days that Made India*, is an account of some of the negotiations and machinations the leaders of these states engaged in over the three weeks leading up to August 15, 1947, and how India’s interim government, and particularly the newly formed States Department under Patel, worked to thwart their ambitions. On the one side, the cast of characters includes the leaders of several states, such as the Nizam of Hyderabad, the Nawab of Bhopal, the Jam Saheb of Nawanagar, and the Dewan of Travancore, Sir C P Ramaswami Iyer. On the other side, there are the “giants” — Gandhi, Nehru, Patel, Mountbatten — and the “unsung heroes” working in their shadow.

One might quibble about how “unsung” a figure like V P Menon really is. Even others such as Aravamudan Aiyangar, the Nizam’s minister who secretly passed on information to the leadership in Delhi, are not unknown to history. Some of the stories, including K C S Mani’s assassination attempt on Sir C P and how it stopped his bid to secure independence for Travancore, are quite well known. On the other hand, tidbits such as the efforts by some of the erstwhile rajas of Malabar — who had not held political power since Tipu Sultan’s invasion — to secure greater recognition amid the manoeuvres by the states are interesting.

The book’s stories are “plucked from the dust of the Archives’ files and several private papers and academic collections”. An engaging read, it might have benefitted from incorporating more of the scholarship on that period, including recent works such

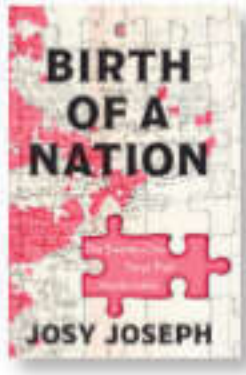


WIKIMEDIA COMMONS

**IN NATIONAL INTEREST**  
The entrance bridge to the city of Hyderabad, Andhra Pradesh, in 1892

as Purushottam’s book cited above and Rama Sundari Mantena’s *Provincial Democracy: Political Imaginaries at the End of Empire in Twentieth-Century South India*. It could also have profited from more careful proofreading — Gaekwad becomes Gaekwar, Bordoloi becomes Bardoloi, among a number of typos.

The narrative is also teleological in nature, which shifts the focus on the tactics — Nehru’s idealistic, hardline republican approach to the princely states, contrasted with Patel and Menon’s seemingly accommodating pragmatism, or missteps in the Northeast. At the same time, the antagonists are painted with a broad brush. Only Sir C P’s proverbial intelligence survives. As stated in the introduction, the book has a lesson in mind: That “a Republic is hard-won, and that its preservation lies in knowing its roots”. That is a grand project, and a vital one today. The book provides a narrative of some important political ma-



**BIRTH OF A NATION: THE TWENTY-ONE DAYS THAT MADE INDIA**

JOSY JOSEPH  
Context  
297 pages  
₹799

noeuving, but the issues surrounding the birth of the Republic — including contradictions and violence — were complex and entailed more than the heroic efforts of a few men.

A, perhaps, fanciful exercise might be to wonder how realistic the states’ ambitions, such as Sir C P’s vision of an “American-model”, thorium-exporting Travancore, or the pretensions the Nizam held at one point to international Muslim leadership, were in the face of reality: The disintegration of their patron, the British Empire, and the overwhelming economic leverage and military weight of the Dominion of India. That’s not to mention the rising nationalism and Congress influence among the public in the states. Maybe it was always an impossible dream, despite all the plots and conspiracies in the world, as the Nizam would find out.

But what makes the princely states interesting is precisely how they came to have

these ambitions, and how these kingdoms, shaped by colonial modernity yet claiming pre-colonial legitimacy, conceived of themselves. They offered their own critiques of what was happening in British India. Hyderabad, for instance, claimed — that is not to say this reflected reality — that it was not affected by communalism, that Hindus and Muslims were the “two eyes of the state”. It has been argued that a “balance” was struck between the communities through the politics of interest rather than the politics of numbers, as Purushottam puts it, with Muslims getting a disproportionate share of power and representation despite making up just 15 per cent of the population. However anti-democratic and unjust, there was a theory of politics here, perhaps, even a worldview. That, and the fact that a quarter of India’s population lived under the rule of these “sovereigns”, makes them deserving of far more study and popular attention.